
How Does a Global Firm Hold Together?

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“Why are they giving up now? They have good prices and a good variety.”

A Brief Writing Exercise

YOUR IB VOICE

EXPLAIN THE DIFFERENCE

Wal-Mart's formula failed in Germany and South Korea but succeeded in Mexico and Britain. What explains the difference? Commit to one explanation and defend it with two details from the article. In one final sentence, say whether Apple's appointment of a managing director for Greater China shows the same problem.

10 minutes · Individual · Notes permitted

Keep your response. You will return to it in the closing discussion.

Why did the formula land in some countries and not others?

- **Shoppers:** daily trips, small packages, meat from the butcher.
- **Rivals:** Aldi and E-Mart already owned low prices.
- **Scale:** 85 stores in Germany, 16 in Korea.
- **Acquisitions:** the wrong chains in the wrong places.
- **Management:** Americans in charge, unions treated as enemies.

Which of these are about the country, and which are about how Bentonville ran it?

A photograph of a Wal-Mart Supercenter exterior, likely in a Spanish-speaking country. The building is blue with a red roofline. Large white signs with red lettering are visible. One sign on the right says "¡EN WAL★MART PAGA MENOS!". Another sign on the building says "WAL★MART SUPERCENTER". The parking lot is filled with cars, and a few people are visible. A tall light pole is on the left. The sky is overcast.

Wal-Mart Abroad, 1992–2006

Wal-Mart International: from nothing to \$63 billion in 14 years

\$63 billion

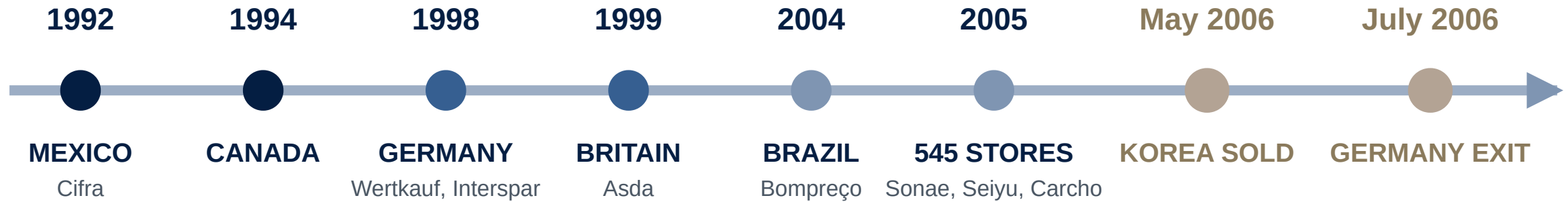
Nearly 30 percent growth in June 2006;
about 12 percent without acquisitions.

Seventy percent of it under other names:
Asda, Seiyu, Bompreço.

Wal-Mart International sales, 2006, from
a standing start in 1992

■ The setbacks happened inside the fastest-growing part of the company.

Two exits in three months, in the year of 545 new stores



■ The same company that left Germany and Korea was buying chains in Brazil, Japan, and Central America.

Germany: Aldi already owned low prices



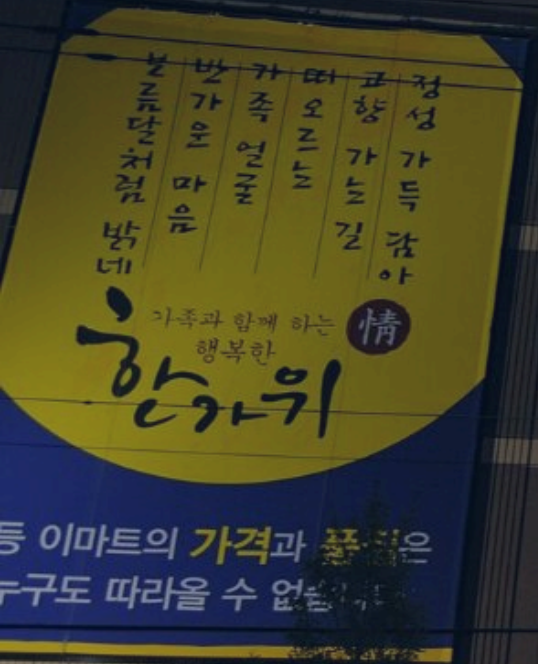
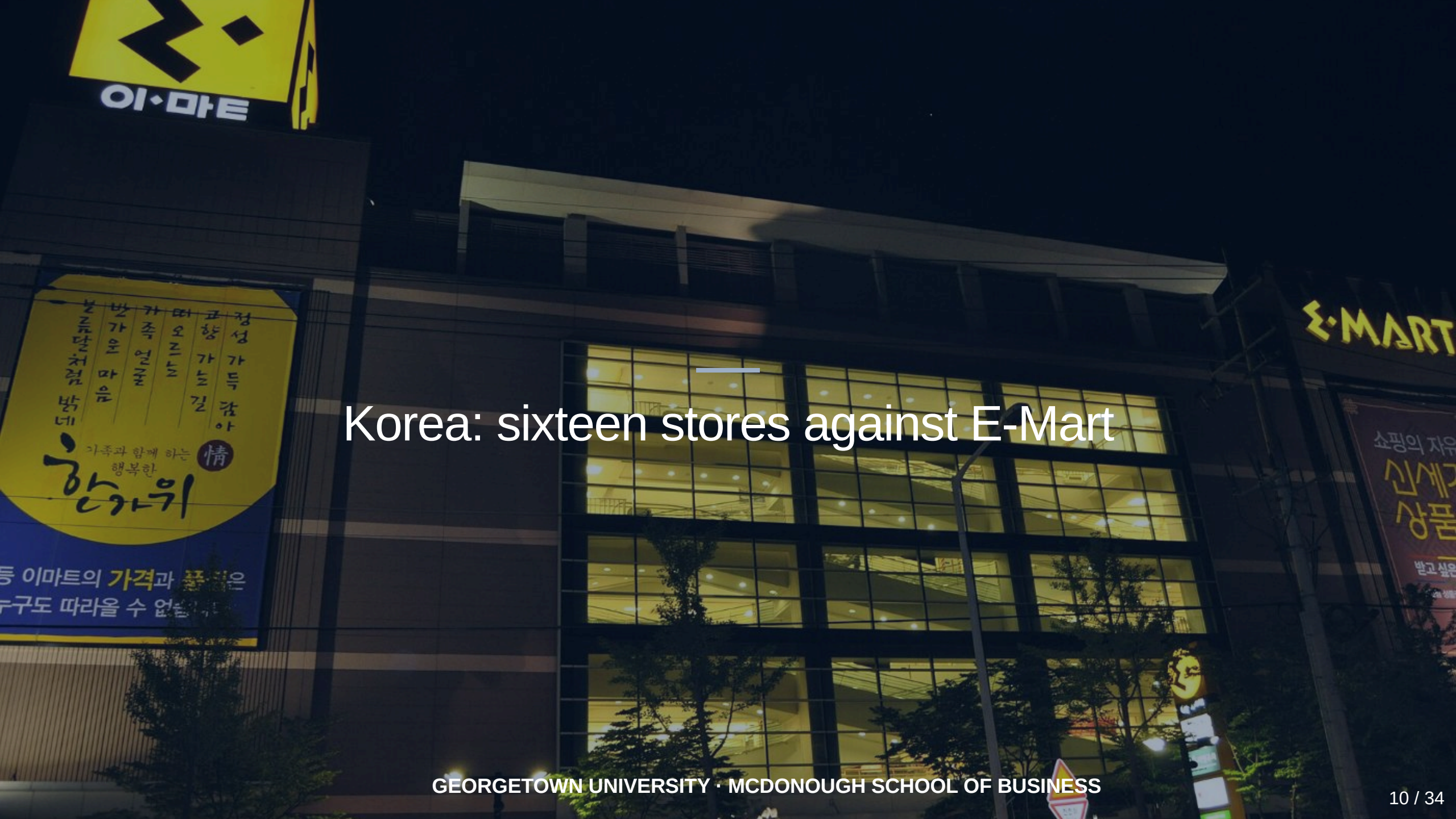
Spacekid, [Aldi Bielefeld-Jöllenbeck](#), 2015 · Commons, CC0.

Aldi: 4,100 stores, cheaper food, high quality.

Wertkauf and Interspar came with stores in undesirable locations.

Closing one chain's headquarters drove out its executives.

Germany became, in the Times's words, "a sort of template for how not to expand into a country."



Korea: sixteen stores against E-Mart

Mexico: buy the leader and keep its managers



tomf688, [Wal-Mart Supercenter, Querétaro](#), 1999 · Commons, CC BY-SA 3.0.

Cifra: Mexico's largest and best-run chain.

"The management stayed, and they knew the market very well."

\$1 billion for 120 new stores in 2006.

Wal-Mart's best markets are the ones where it started big.

Britain: Asda kept its name and became the biggest market



Britain's No. 1 discount chain when bought in 1999; \$26.8 billion in sales, 43 percent of Wal-Mart's international revenue, under its own name.

Steven Haslington, [Asda Walmart Supercentre, Milton Keynes](#), 2014 · Commons, CC BY-SA 2.0.

The exits were the two smallest positions

STORES, AS REPORTED IN AUGUST 2006 · 0.3 PX PER STORE



Aldi had nearly fifty stores for every Wal-Mart in Germany; scale is what lets a formula set prices.

Wal-Mart: two pathways, two outcomes

Where it bought the market leader and kept its managers, the formula landed.

Where it bought weak chains and ran them from Bentonville, it lost.

■ Hold the question of which parts of the formula should travel at all.

A photograph of a Walmart Home Office building. The building is a two-story structure with a brick lower half and a light-colored upper half. The Walmart logo and "Home Office" text are mounted on the brick section. In the foreground, a tall radio tower stands on the left, and three cars (a silver Mazda, a white Acura, and a red Honda) are parked in front of the building. The image has a dark blue overlay.

Walmart Home Office

What Did Not Travel

The formula met shoppers with different habits

Bentonville's formula

Low prices, tight inventory, a large array.

One weekly trip by car.

Smiling clerks; a morning chant.

German and Korean shoppers

Daily trips to specialist shops.

Small packages; meat from the butcher.

Smiles read as flirting; the chant as strange.

■ The formula assumed a shopper it did not find.

Institutions differed too: unions and works councils



Brandonrush, [Walmart Home Office](#), 2012 · Commons, CC BY-SA 3.0.

“Bentonville didn’t want to have anything to do with unions. They thought we were communists.”

Moving a headquarters is routine in Arkansas; in Germany it emptied the executive floor.

Part of what did not travel was law and custom, not taste.

Liability of foreignness: costs a local rival does not pay

UNFAMILIARITY

not knowing the market
sites, assortment, habits

RELATIONSHIPS

not having the ties
unions, suppliers, officials

LEGITIMACY

not being seen as local
shoppers, employees, regulators

COSTS A LOCAL RIVAL DOES NOT PAY

The liability shrinks with scale, time, and local managers; the German and Korean stores had none of the three.



Who Decides? Apple in Shanghai

Apple has one P&L and no general managers



Joe Ravi, [Apple Headquarters in Cupertino](#), 2011 · Commons, CC BY-SA 3.0.

Jobs put the whole company under one profit-and-loss statement.

Functions, each led by a technical expert: engineering, marketing, finance, operations.

No country units.

Apple holds together by function; a country is not a unit of the company.

Shanghai, May 2017: why wait for Cupertino to wake up?



Operations in Shanghai wanted to decide with vendors on the spot.

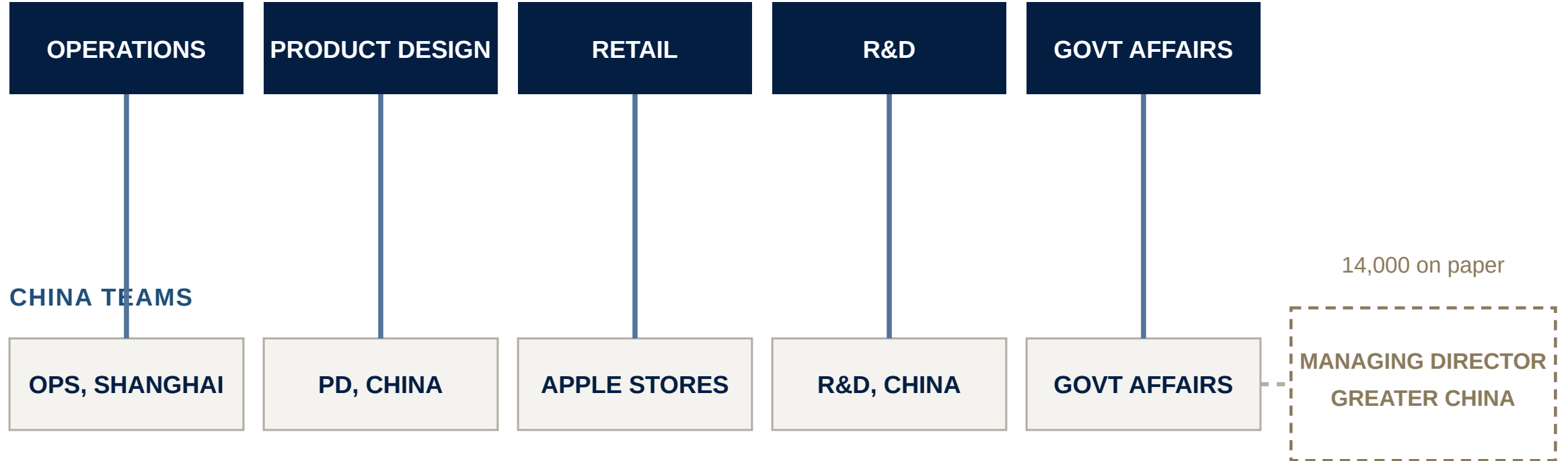
Product Design in Cupertino held the decisions.

The new managing director's answer: seek advice from Cupertino.

| The question underneath was: whose side are you on, Operations or Product Design?

The Managing Director of Greater China had no reporting lines

CUPERTINO · ONE P&L · FUNCTIONS



Fourteen thousand employees on paper; every one of them reported to a function.

The role existed for political optics



kallerna, [Apple Pudong, Shanghai](#), 2020 · Commons, CC BY-SA 4.0.

The Gang of Eight wanted a public China lead.

Cupertino wanted “the face of China” to be Chinese.

By early 2019 the position had not worked out, and it stayed.

Apple chose a figurehead over a decision-maker and kept its functional integration intact.

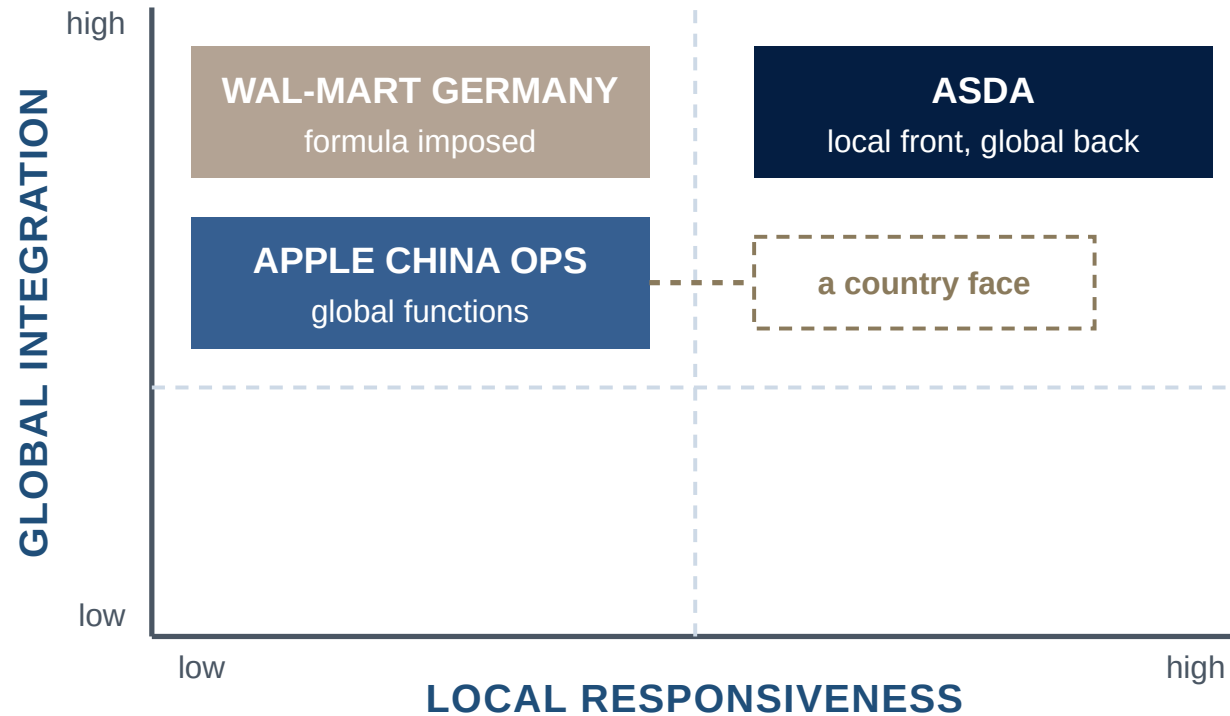
Two firms, two answers to the same question

Wal-Mart learned to give country units local names, local managers, and local decisions.

Apple kept every decision inside global functions and added a country face.

Each answer has a cost: duplication and lost leverage for one, slow local decisions and a hollow role for the other.

Integration and responsiveness pull in different directions



Integration buys scale, one formula, and leverage over suppliers.

Responsiveness buys shoppers, unions, officials, and speed.

Asda got both by keeping the front local and sharing the back office.

■ The pull is felt decision by decision, not country by country.

Headquarters and subsidiaries are tied by four levers

Lever	Wal-Mart Germany	Asda	Apple China
Who decides	Bentonville	Local managers	Cupertino functions
Who runs it	American executives	The chain's own team	Function heads, plus a figurehead
Systems	Wal-Mart's	Shared back office	One global P&L
Name on the door	Wal-Mart	Asda	Apple

Coordination is a set of choices about decisions, people, systems, and brand, and the mix can differ by country.

Design the Country Unit

Industry teams: decide which decisions stay at headquarters

1. Take your focal firm entering one foreign market.
2. For five decisions, mark headquarters, local, or shared: pricing and assortment; supplier selection; store or plant design; labor relations; the name on the door.
3. Say whom the country manager reports to and what that manager can decide alone.
4. Prepare a 60-second explanation.

10 minutes • Industry teams • One annotated list

▮ Allocate decisions, not slogans.

A regulator or union in the country demands a change that conflicts with your global standard.

Your local team asks to decide it without waiting for headquarters. Do you give them the decision? Name what you lose if you do, and what you lose if you do not.

3 minutes · Same teams · Add the answer in a second color

Compare the allocation behind each answer

Report in 60 seconds

Decisions kept at headquarters

Decisions given to the country

The contested decision

Explain

What scale or formula do they protect?

What would a foreigner get wrong?

Who won, and what did it cost?

6 minutes · Three reports, then comparison

■ The decision a team would never give away is what its formula is made of.

A global firm holds together decision by decision

The unit of design is the decision, not the country.

Teams that gave away pricing kept the brand; teams that kept everything found the local team waiting for headquarters to wake up.

Integration and responsiveness are chosen one decision at a time, and a title changes neither.

Module 4: how firms organize across borders

- September 21: the firm's boundary follows what contracts and reputations can enforce.
- September 23: own abroad when internal coordination beats the feasible contracts.
- September 28: locate for what is nearby, not only for what is cheap.
- Today: hold together by allocating decisions between headquarters and the country.

Monday, October 5: industry diagram workshop. Wednesday, October 7: midterm on Modules 1 through 4.

The “face of China” is where Module 5 begins

Apple needed a Chinese face because its China business needed the Chinese state.

When officials threatened to shut Pegatron’s iPhone assembly over a prototype that left a bonded zone, it was Sexton who talked them down.

■ October 14 asks who needs whom: Apple or the Chinese state.

What explains where Wal-Mart's formula landed, and does Apple's answer show the same problem or a different one?

Monday: bring your team's draft system diagram. Wednesday: midterm, Modules 1 through 4.